Investor.gov
U.S. SECURITIES AND EXCHANGE COMMISSION

Common Scams

Scammers use a variety of techniques to convince investors to hand over their hard-earned money. They often target victims through social media and investment-related group chats (/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-alerts/gateway-to-investment-scams) . While emerging technologies, such as super intelligence and those which underpin crypto assets, may enhance the way investors build wealth, it is important to watch out for investment fraud. Many scammers exploit the popularity and complexity of these emerging technologies for bogus investment pitches. Furthermore, transactions involving crypto assets are typically rapid, anonymous, and difficult to track. These characteristics make crypto assets (https://www.investor.gov/additional-resources/spotlight/crypto-assets) particularly attractive to scammers, who may use them as their primary method of payment in fraudulent schemes.

Scammers encourage victims to contribute more and more funds. Victims often lose everything they invested and are targeted again in new or related scams. If you suspect you are caught up in a scam, stop communicating with the individuals immediately and do not give them any money.

The following are common — and often related — scams reported to the SEC's Office of Investor Education and Assistance.

- **Relationship Investment Scams** (https://www.investor.gov/protect-your-investments/fraud/types-fraud/relationship-investment-scam) **.** In a relationship investment scam, scammers reach out online or through text messages, attempting to build trust through friendship or a romantic connection to convince you to put money into phony investments.

- **Advance Fee Fraud** (https://www.investor.gov/protect-your-investments/fraud/types-fraud/advance-fee-fraud) **.** If someone has asked you to pay money for taxes, fees, or any other reason before your funds will be released from an investment opportunity, you may be experiencing a scam. This scam is often

associated with fabricated dashboards for fictitious investment accounts that have quickly increased in value.

- **Impersonation Schemes** (https://www.investor.gov/protect-your-investments/fraud/types-fraud/impersonation-schemes) **.** If someone contacts you claiming to be from the SEC and requests an upfront payment to recover or release funds, this is a scam. Scammers also impersonate registered firms or individuals and may set up an account name, profile, or handle designed to mimic a particular firm or individual.

- **Stock Tip Scams** (https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins/social-media-stock-scams) **.** Stock recommendations you receive through social media, including investment-related group chats, may be part of an investment scam. Scammers may promote a stock anonymously or while impersonating someone else, and then profit at investors' expense (sometimes referred to as a pump and dump scheme (https://www.investor.gov/investing-basics/avoiding-fraud/types-fraud/pump-dump-schemes)).

- **Fake Claims of SEC Registration** (https://www.investor.gov/protect-your-investments/fraud/types-fraud/false-claims-sec-registration) **.** Scammers may point to a filing, falsely claiming it is evidence of SEC registration. A filing with the SEC does not necessarily mean that an individual or firm is registered with the SEC. If individuals or firms falsely claim to be registered with the SEC, do not trade with them, do not give them any money, and do not share your personal information with them.

Protect your money from further investment scams by keeping an eye out for 5 tactics scammers may use:

Connect with you through social media, text messages, or messaging apps and gain your trust over time.

Urge people to buy an investment to pump up the price so that they can sell it at a high price (then the price drops and you lose money).

Impersonate trusted sources like legitimate investment professionals or government agencies.

Exploit emerging technologies.

Demand fees or costs that they falsely claim will allow you to withdraw from your account, or to recover losses.

Learn more about these **tactics (https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-alerts/crypto-scams)** .

Report investment scams to the SEC at sec.gov/tcr (https://www.sec.gov/submit-tip-or-complaint/tips-complaints-resources/report-suspected-securities-fraud-or-wrongdoing) . You can also report to:

- FBI Internet Crime Complaint Center (https://www.ic3.gov/)
- Federal Trade Commission (https://reportfraud.ftc.gov/)
- Your State Securities Regulator (https://www.nasaa.org/contact-your-regulator/)
- Your State Attorney General (https://www.naag.org/find-my-ag/)

Last reviewed or updated: Oct. 7, 2026

Related Content

Relationship Investment Scams - Protect Yourself

These scams cause investors to lose billions of dollars each year. Learn how to protect yourself and others.

(/protect-your-investments/fraud/types-fraud/relationship-investment-scam)

Fraud Literacy Quiz

Check your knowledge of the signs of an investment scam.

(/additional-resources/spotlight/investing-quizzes/fraud-literacy-quiz)

Protect Your Money: How To Avoid Investment Scams

Read and download a handout sharing common red flags of investment fraud and how to avoid them.

(https://www.investor.gov/protect-your-investments/fraud/protect-your-money)